No. 26-2459

UNITED STATES COURT OF APPEALS FOR THE EIGHTH CIRCUIT

CHRIS WOLTERS,

Plaintiff – Appellee,

v.

SWEEPSTEAKS LIMITED d/b/a STAKE.US,

Defendant – Appellant.

On Appeal from the United States District Court for the District of Minnesota
Case No. 0:25-cv-03280-JRT-JFD; Hon. John R. Tunheim

APPELLANT'S OPENING BRIEF

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SUMMARY OF THE CASE

When Chris Wolters joined Sweepsteaks Limited's online social gaming platform, he agreed to arbitrate all disputes by affirmatively checking a box agreeing to the Terms and Conditions. He also unambiguously agreed to delegate all threshold questions of validity and enforceability of the Terms and Conditions to the arbitrator. Despite having entered that agreement, Wolters filed this suit. And despite the parties' unmistakable delegation of questions of validity to the arbitrator, the district court ruled on them. That was an error, and this Court should reverse.

As this Court recently and rightly declared in reversing another order denying a motion to compel arbitration issued by the same district court, "[c]hallenges to the validity of an agreement to arbitrate are distinct from challenges to the entire contract." *Benchmark Ins. Co. v. SUNZ Ins. Co.*, 36 F.4th 766, 772 (8th Cir. 2022). Challenges to the validity of the contract therefore must be sent to arbitration. This is true as a matter of federal substantive law, and the parties here could not and did not agree otherwise. The district court also wrongly found a question of fact regarding contract formation, despite objective evidence of consent and counsel's concession that Wolters "does not necessarily dispute whether he signed the contract."

Four previous times, the Court has reversed this district court judge for denying motions to compel arbitration. The Court should do so again. Sweepsteaks Limited requests 15 minutes of oral argument per side.

CORPORATE DISCLOSURE STATEMENT

Appellant Sweepsteaks Limited has a parent corporation, Well Done STK Limited. No publicly held corporation owns 10 percent or more of Sweepsteaks Limited's or Well Done STK's stock. See Fed. R. App. P. 26.1(a); 8th Cir. R. 26.1A.

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JURISDICTIONAL STATEMENT

The district court had original jurisdiction under the federal diversity jurisdiction statute, 28 U.S.C. § 1332(d), because the case is a putative class action involving more than 100 members, the parties are diverse, and Wolters alleges that the amount in controversy exceeds the jurisdictional minimum of $5 million.

This Court has appellate jurisdiction under 28 U.S.C. § 1294 and 9 U.S.C. § 16(a)(1)(B). See *Benchmark Ins. Co. v. SUNZ Ins. Co.*, 36 F.4th 766, 770 (8th Cir. 2022). Sweepsteaks Limited timely filed a notice of appeal on July 15, 2026, from a July 1, 2026, order of the district court that denied Sweepsteaks Limited's motion to compel arbitration under the Federal Arbitration Act.

STATEMENT OF THE ISSUES

1. Delegation to the arbitrator and severability. The parties agreed to arbitrate "any and all Disputes, including without limitation any question regarding the existence, validity, enforceability, or termination of these Terms and Conditions." (App.84; R. Doc. 16-1, at 28 § 26.6(a).) Wolters argued that the Terms and Conditions were invalid as addressing the subject of gambling and so the arbitration agreement was invalid as well, but "[t]he Supreme Court has made clear that 'unless the challenge is to the arbitration clause itself, the issue of the contract's validity is considered by the arbitrator in the first instance.' "

Benchmark, 36 F.4th at 772 (quoting *Buckeye Check Cashing, Inc. v. Cardegna*, 546 U.S. 440, 445–46 (2006)). Did the district court err in considering the contract's validity instead of sending that issue to arbitration?

Apposite statute: Federal Arbitration Act, 9 U.S.C. §§ 2–4. Apposite cases: *Buckeye*, 546 U.S. 440 (2006); *Rent-A-Center, W., Inc. v. Jackson*, 561 U.S. 63 (2010).

2. Contract formation. Sweepsteaks submitted evidence that no user could access its platform without checking a box next to the statement "I have read and agree to the terms and conditions," and that Wolters checked that box when he created his account. (App.52; R. Doc. 15, at 3 ¶ 11.) Wolters presented no evidence. At oral argument on the motion to compel, counsel for Wolters stated that he "does not necessarily dispute whether he signed the contract." (App.314; R. Doc. 31, at 19:16–17.) Did the district court err by finding a disputed issue of fact on contract formation?

Apposite rule: Fed. R. Civ. P. 56. Apposite cases: *Asia Pacific Industrial Corp. v. Rainforest Café, Inc.*, 380 F.3d 383 (8th Cir. 2004); *Erickson v. Nationstar Mortgage, LLC*, 31 F.4th 1044 (8th Cir. 2022).

STATEMENT OF THE CASE

On November 25, 2022, Plaintiff Chris Wolters created a user account on Stake.us. (App.51; R. Doc. 15, at 2 ¶ 8.) Stake.us is an online social gaming platform operated by Defendant Sweepsteaks Limited that provides interactive games. (App.50;

R. Doc. 15, at 1 ¶ 4.)

On July 1, 2026, the district court issued an order denying the motion to compel arbitration. (Add.1–Add.16; R. Doc. 26.) The court stated two grounds for its decision. First, the court held that, if Wolters' allegations were credited, the Terms and Conditions as a whole would be void, and this would make the arbitration clause void, too. (Add.13; R. Doc. 26, at 13.) The court further acknowledged that "a party's challenge to another provision of the contract, or to the contract as a whole, does not prevent a court from enforcing a specific agreement to arbitrate." (Add.7; R. Doc. 26, at 7 (quoting *Rent-A-Center*, 561 U.S. at 70).)

Sweepsteaks Limited timely filed its notice of appeal on July 15, 2026.

SUMMARY OF THE ARGUMENT

Wolters entered into a binding arbitration agreement with Sweepsteaks Limited by clicking a box to indicate acceptance of the Terms and Conditions. Those Terms and Conditions contained an arbitration agreement sending "any and all Disputes," including over threshold arbitrability issues, to arbitration. Wolters's entire case, including his arguments that the Terms and Conditions permit illegal gambling and that the arbitration clause contains unconscionable terms, must therefore be heard by an arbitrator in the first instance.

ARGUMENT

In four prior appeals, this Court has reversed the same district court judge for erroneously denying motions to compel arbitration. See *Bailey v. Ameriquest Mortg. Co.*, 346 F.3d 821, 823–24 (8th Cir. 2003); *McLeod v. Gen. Mills, Inc.*, 856 F.3d 1160, 1168 (8th Cir. 2017); *Parm v. Bluestem Brands, Inc.*, 898 F.3d 869, 871, 878 (8th Cir. 2018); *Benchmark*, 36 F.4th at 772. In *Bailey*, this Court observed that the "court's decision is contrary to controlling decisions of the Supreme Court and this court." *Bailey*, 346 F.3d at 823. And in *Benchmark*, this Court reversed because the district court incorrectly decided "a challenge to the contract's validity that, under *Buckeye*, shall be considered by an arbitrator, not a court." *Benchmark*, 36 F.4th at 772. The district court committed the same error here, and this Court should again reverse.

Standard of review. The Court "reviews a determination concerning the arbitrability of a dispute de novo." *McLeod*, 856 F.3d at 1163.

I. All Disputes Between Wolters and Sweepsteaks Should Be Directed To Arbitration, And This Litigation Should Be Stayed.

Congress enacted the Federal Arbitration Act (FAA) "in response to widespread judicial hostility to arbitration." *Am. Express Co. v. Italian Colors Rest.*, 570 U.S. 228, 232 (2013). In the FAA, Congress "specifically directed [courts] to respect and enforce the parties' chosen arbitration procedures" by "rigorously . . . enforc[ing] arbitration agreements according to their terms." *Epic Sys. Corp. v. Lewis*, 584 U.S. 497, 506 (2018)

(quoting *Italian Colors*, 570 U.S. at 233).

A. The Parties validly formed an arbitration agreement, and the agreement requires arbitration of all disputes Wolters raises.

When this Court "review[s] an order denying a motion to compel arbitration," it asks "[t]wo questions": (1) "whether the parties entered a valid arbitration agreement"; and (2) "whether the parties' particular dispute falls within the scope of the arbitration agreement." *Parm*, 898 F.3d at 873 (quotation marks omitted). Here, the answer to both questions is "yes."

First, Wolters and Sweepsteaks Limited formed a valid agreement to arbitrate. "[O]rdinary state-law contract principles" govern formation. *Asia Pac. Indus. Corp.*, 380 F.3d at 385. Under Minnesota law (which the parties agree governs), forming a contract requires (1) an offer that is "definite in form" and "communicated to the offeree," (2) "acceptance of the offer," and (3) "consideration." *Pine River State Bank v. Mettille*, 333 N.W.2d 622, 626–27 (Minn. 1983). Offer and acceptance together show "mutual assent," or a meeting of the minds on the essential elements of the contract, and "[w]hether mutual assent exists is tested under an objective standard," *SCI Minn. Funeral Servs., Inc. v. Washburn-McReavy Funeral Corp.*, 795 N.W.2d 855, 864 (Minn. 2011), meaning it is "judged by the words and actions of the parties," *Asia Pac. Indus. Corp.*, 380 F.3d at 385 (applying Minnesota law).

Here, Sweepsteaks Limited made a definite offer to arbitrate "any and all Disputes." (App.84; R. Doc. 16-1, at 28 § 26.6(a).) It specified that Wolters would

accept the offer "[b]y agreeing to these Terms and Conditions." (*Id.*) And Wolters did so by checking a box next to the statement: "I have read and agree to the terms and conditions." (App.51; R. Doc. 15, at 2 ¶ 8; App.52; R. Doc. 15, at 3 ¶ 11.) By checking the box, Wolters "gave [his] assent in exactly the way the arbitration provision described." *Foster v. Walmart, Inc.*, 15 F.4th 860, 863 (8th Cir. 2021). Under Minnesota's objective approach, Wolters accepted Sweepsteaks' offer, and because the parties gave consideration through their mutual agreement to arbitrate (among other terms), a contract was validly formed.

Under this law, Wolters and Sweepsteaks agreed to delegate all gateway issues to the arbitrator, including issues about the validity of both the Terms and Conditions generally and the arbitration clause specifically. Their written agreement states that "you and Stake agree that any and all Disputes, including without limitation any question regarding the existence, validity, enforceability, or termination of these Terms and Conditions and/or this clause 26 (Dispute Resolution and Agreement to Arbitrate), shall be referred to and finally resolved by arbitration." (App.84; R. Doc. 16-1, at 28 § 26.6(a).)

CONCLUSION

Sweepsteaks Limited respectfully requests that this Court reverse the district court's July 1, 2026 order and remand with instructions to grant Sweepsteaks Limited's motion to compel arbitration, stay this lawsuit, and order that all of Wolters' claims, including all defenses and other issues related to his claims, be addressed in an individual arbitration proceeding.

Respectfully submitted,

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September 10, 2026

CERTIFICATE OF COMPLIANCE

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/s/ Aaron D. Van Oort
Attorney for Defendant – Appellant
Sweepsteaks Limited
Dated: September 10, 2026

CERTIFICATE OF SERVICE

I hereby certify that on September 10, 2026, I electronically filed the foregoing with the Clerk of the Court for the United States Court of Appeals for the Eighth Circuit by using the appellate CM/ECF system, which will send notification of such filing to all counsel of record.

/s/ Aaron D. Van Oort
Attorney for Defendant – Appellant
Sweepsteaks Limited
Dated: September 10, 2026